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DRAFTING ISSUES MEMORANDUM

Mortgage and Security Agreement — Calverley Heritage Bank / Palmetto Gateway Partners LLC

CHB CRE Loan No. 2025-CHS-0047 — 520–534 King Street, Charleston, South Carolina 29403

Principal Amount $14,750,000.00

TO	**Catherine "Kit" Ashworth, Partner, Real Estate Practice Group Chair**
FROM	Jordan Vickers, Associate
CC	File
DATE	March 28, 2025
RE	Issues on first draft of Mortgage and Security Agreement; items requiring instruction before delivery to Lender

This memorandum accompanies the first draft of the Mortgage and Security Agreement (the "**Mortgage**") for the above-referenced loan (the "**Loan**") and records the issues identified in preparing it. It follows your markup notes dated March 18, 2025 and addresses each item you asked me to prioritize — the restructuring of the assignment of rents from a collateral to an absolute assignment, the single-purpose entity and operating agreement problem (including the form of operating agreement amendment), and the yield maintenance formula — together with a number of discrepancies in the source record that I do not believe can be resolved by drafting alone.

I. PURPOSE, SCOPE AND SOURCES REVIEWED

I have read each document in the loan file in full and have independently recomputed every figure used in the Mortgage rather than adopting any figure as quoted. The sources I relied on, and the weight I have given each, are as follows:

Source	Date	Use in the draft	Reliance
Executed Term Sheet, CHB CRE Loan No. 2025-CHS-0047	April 1, 2025	Governing commercial terms; every economic and covenant term in the Mortgage is drawn from it	Primary — controlling where inconsistent with any other source
Title Commitment No. PT-2025-04-1178 (Prestige Title & Settlement Services LLC / Commonwealth National Title Underwriters Inc.)	Effective February 28, 2025	Legal description (Exhibit A), Permitted Exceptions (Exhibit B), closing conditions	Primary for title
Phase I ESA, Clearfield Environmental Consulting LLC, Report No. CLR-2025-0119	January 28, 2025	CREC on Lot 7, SCDHEC Land Use Restriction, vapor barrier and institutional-control covenants (Article VIII)	Primary for environmental
Appraisal, Pinnacle Valuation Services LLC, File PVS-2025-0214-CHS	February 14, 2025	Values, NOI, occupancy, lease commentary	Secondary — figures re-verified
Rent Roll and Lease Abstracts (workbook)	Current as of drafting	Exhibit D; lease provisions; occupancy	Secondary — figures re-verified; several internal errors identified
Renovation Budget and Draw Schedule (workbook)	Current as of drafting	Exhibit C; disbursement mechanics in Article IX	Secondary — arithmetic errors identified
Redacted Summary of Amended and Restated Operating Agreement (Cartwright & Lyons LLP)	Amended through March 1, 2025	Authority, SPE status, transfer restrictions, reporting	Secondary and incomplete — summary only; full agreement required
Your markup notes	March 18, 2025	Drafting instructions	Instruction

Where a source is a summary rather than an original (the operating agreement summary is expressly a redacted summary; the Phase I document is an executive summary extracted from a full report), I have said so in the relevant issue and have not treated the summary as a substitute for the underlying document. The full Phase I report and the full operating agreement should be obtained and reviewed before we express any opinion on the environmental condition of the Property or on Borrower's separateness.

II. EXECUTIVE SUMMARY — TOP RISK REGISTER

The following are the matters that, in my view, require resolution before the Mortgage is delivered to Marcus Prideaux. Each is cross-referenced to the detailed discussion below. The ranking reflects the consequence to the Bank if the item is not addressed, not the difficulty of the fix.

Rank	Issue	Consequence if not addressed	Draft treatment	Ref.
1	The DSCR covenant of 1.25x is not attainable on any income projection in the file, including the stabilized case	A covenant default at the first test date is effectively pre-ordained; the covenant as drafted converts a performing loan into a defaulted loan at month 24–27	Drafted as instructed; flagged for restructuring	Issues 1–2
2	Occupancy is misstated as 68% throughout the file; the correct figure is 56.13%	Underwriting, LTV commentary, lease-up assumptions and any occupancy-based covenant or guaranty burn-off rest on a 4,000 SF error	Not recited in the Mortgage; corrected in Exhibit D	Issue 3
3	Borrower is not a single-purpose, bankruptcy-remote entity, and the required amendment has not been delivered	The non-recourse structure and the recourse carve-outs — the entire basis of the Loan — are unenforceable in substance; also a misrepresentation risk if we draft the representation as instructed	Article VI/6.7–6.8 and Article V/5.7 drafted conditionally on the amendment	Issues 18–19
4	The Anson Lane strip was conveyed by quitclaim deed only, and the description in the term sheet omits the recorded plat reference	Possible collateral gap on the parcel that provides rear access to all three lots; title coverage may be qualified	Parcel Two described by reference to Plat Book 64 at Page 91; endorsements required	Issue 9
5	Title is presently vested in Hampstead Village Holdings LLC, not Borrower	If the deed is not recorded immediately before the Mortgage, the Mortgage is executed by a non-owner and the lien fails	Closing sequencing condition and representation in Section 5.3	Issue 8
6	The yield maintenance formula in the term sheet is ambiguous on four variables, and your drafting instruction differs from the term sheet's economics	An unenforceable or unadministrable prepayment premium; a court could treat it as a penalty	Drafted to the term sheet's greater-of structure with all four variables defined; flagged for confirmation	Issue 4

Rank	Issue	Consequence if not addressed	Draft treatment	Ref.
7	Estoppels and SNDAs are conditions precedent, but the Lowcountry Provisions Inc. lease has no estoppel obligation, no SNDA provision and no assignment clause	The Bank cannot compel delivery; closing may fail on a condition the borrower cannot satisfy without tenant goodwill	Representations, covenant and lease-amendment undertaking in Article III	Issue 21
8	Sources and uses leave approximately $440,000 of closing costs, the TI/LC reserve and leasing commissions unfunded	Borrower may be unable to close, or may fund the gap by borrowing — which the negative covenants prohibit	Reserve and expense obligations drafted; gap flagged	Issue 13
9	The SCDHEC land use restriction on Lot 7 is a permanent, non-removable title matter with continuing affirmative obligations	An uncured breach can reopen the site file and impair both value and the Bank's collateral; the recourse carve-out for environmental liability is currently drafted to include pre-existing conditions	Article VIII drafted as specific covenants with an immediate default; recourse scope flagged	Issues 24–26
10	The Guaranty is described as "full recourse" in its heading but as non-recourse with carve-outs in its operative text, and the interest carry covers only 14 months	The guaranty does not address the DSCR shortfall it was presumably intended to mitigate	Mortgage references the Guaranty neutrally; flagged for the Guaranty drafter	Issue 5
11	Permitted Exceptions have never been approved by the Bank in writing, and a future advance endorsement is essential given the $2,250,000 holdback	Priority of the holdback advances could be lost to intervening liens	Exhibit B drafted with conditions to approval	Issue 11
12	Whether the assignment of rents is to be a separate recorded instrument is unresolved in the term sheet itself	A filing/recording gap on the rent collateral; tenant and title insurer objections at closing	Absolute assignment included in Article III, with a separate-instrument undertaking	Issue 6

The remainder of this memorandum discusses these and the other issues in detail, in the order in which they arise in the Mortgage. Section XI lists the matters that the Mortgage deliberately does not address and the reason. Appendix A reconciles every figure. Appendix B maps each issue to its source. Appendix C lists the

provisions I have supplied as counsel, which are not in the term sheet and therefore require the Bank's approval.

III. SUMMARY OF THE DRAFT AND THE STRUCTURAL DECISIONS MADE

The Mortgage is drafted as a Article II granting clause plus an integrated Article III absolute assignment of rents, followed by representations, affirmative and negative covenants, a dedicated renovation and disbursement article, a dedicated environmental article addressing the SCDHEC restriction, default and remedy articles, and five exhibits. The following structural decisions should be noted, because each departs from the firm template or resolves an ambiguity in the record:

(a) No separate loan agreement is contemplated. The term sheet lists the Loan Documents in Section 14.3 and does not include a loan agreement. Consequently, every covenant that would ordinarily live in a loan agreement — DSCR, net worth and liquidity, reporting, SPE, transfer restrictions, leasing, reserves — has been drafted into the Mortgage. This makes the Mortgage the principal covenant instrument for the transaction, which is unusual for a loan of this size and puts significant weight on a recorded instrument. If the Bank intends to syndicate or securitize, I recommend converting those provisions to a separate Loan Agreement before closing. I have not done so without instruction.

(b) The assignment of rents is absolute, not collateral. Article III is drafted as an unconditional and present assignment, expressly not "as additional security," with a revocable license back to Borrower in Section 3.2 and enforcement on default in Section 3.3 without a court order or receiver. This follows your instruction and the South Carolina Uniform Assignment of Rents Act. Please note the term sheet itself is permissive: Section 5.2 allows the assignment to be included in the Mortgage or executed separately, while Sections 12.1(a) and 14.3(b)–(c) list an Assignment of Leases and Rents as a document to be executed, and Section 14.3(c) refers to it being recorded "if prepared as a separate instrument." I have followed your preference and Section 5.2, and have added Section 3.8 obliging Borrower to execute a separate instrument on demand. See Issue 6.

(c) The assignment of rents is in the Mortgage but the UCC collateral is also a fixture filing. Section 2.3 authorizes both a UCC-1 with the Secretary of State and a fixture filing with the RMC Office, consistent with your note and Requirement 4 of the title commitment.

(d) No power of sale. Consistent with your instruction, Section 2.8 states affirmatively that no power of sale is granted and Article XIII forecloses only judicially. I have added an express acknowledgment that South Carolina does not permit power-of-sale foreclosure, which reads oddly in a commercial mortgage but is useful if the Loan is ever assigned to an out-of-state holder.

(e) The environmental obligations are article-length, not a standard covenant. Because the title commitment's Special Instruction 1 and the Phase I ESA's recommendation 6(d) both require specific covenants

addressing the SCDHEC land use restriction, a vapor barrier maintenance obligation and a default triggered by non-compliance, I have drafted Article VIII as a stand-alone article. A generic environmental compliance clause would not have satisfied either document.

(f) The representations are drafted to be true when made. This is the one point on which I have departed from your instruction, and I have set out my reasoning in Issue 18. In short, I do not think we can draft a representation that Borrower's organizational documents contain the required SPE provisions when we know they do not; the representation would be false on its face, would be a misrepresentation to the Bank's credit file, and would itself trigger the fraud carve-out in Section 14.15. I have instead drafted the representation to speak "on and as of the Closing Date, and after giving effect to the Operating Agreement Amendment delivered at Closing," and made delivery of that amendment a condition precedent.

IV. ISSUES REQUIRING INSTRUCTION BEFORE THE DRAFT IS FINALIZED

Issue 1 — The 1.25x DSCR covenant cannot be satisfied, on any projection in the file.

Source: Term Sheet §§7.1, 11.1(i); Appraisal §6.2–6.3; Rent Roll workbook, "Vacancy Schedule" tab.

This is the single most serious problem in the transaction. The term sheet requires a DSCR of not less than 1.25x, tested quarterly from the first full calendar quarter after month 24, with a default triggered by two consecutive quarters below the covenant. I have computed the DSCR on every income figure in the file, at the note rate of 5.85% (the SOFR floor of 3.00% plus the 285 basis point spread) on $14,750,000:

NOI basis	NOI	DSCR on amortizing debt service ($1,124,239/yr)	DSCR on interest-only debt service ($862,875/yr)
In-place, per rent roll	$320,100	0.28x	0.37x
As-is, per appraisal (low–high)	$332,000 – $345,000	0.30x – 0.31x	0.38x – 0.40x
Stabilized, per appraisal (low–high)	$582,000 – $592,000	0.52x – 0.53x	0.67x – 0.69x
Stabilized, per rent roll best case	$622,772	0.55x	0.72x

On the stabilized best case, the NOI required to satisfy 1.25x is $1,405,299 on amortizing debt service, or $1,078,594 on interest-only debt service. The projected stabilized NOI is $587,000 at the appraisal's midpoint. Put another way, the largest loan that 1.25x DSCR would support, at the note rate and on a 25-year amortization, is approximately $6.16 million — the Loan is roughly 2.4 times the amount the covenant supports. The rent roll workbook itself reaches the same conclusion and labels it "CRITICAL SHORTFALL."

The consequence for drafting is direct. The first test date (month 24–27) coincides with the end of the interest-only period and the beginning of amortization, so the covenant will be tested at the moment debt service steps up by roughly 30%. Unless the loan is restructured, the Bank will hold a document that guarantees a default — which is exactly the outcome a covenant of this kind is meant to prevent, and which a borrower's counsel will characterize as evidence that the covenant was never a genuine term.

Recommendation: Raise with Marcus Prideaux before the draft is delivered. The options, in order of my preference, are: (i) reduce the Loan amount or require a substantial principal paydown from lease-up proceeds; (ii) extend the interest-only period to month 36 and defer DSCR testing accordingly; (iii) set the covenant at a level the asset can meet (roughly 0.90x–1.00x on interest-only debt service at stabilization) with a cash sweep or DSCR cure deposit obligation; or (iv) retain 1.25x but add a defined DSCR cure right — a cash deposit or a letter of credit in the amount of the shortfall — so that a shortfall is a cure-and-collateral event rather than an immediate default. I have not selected among these; it is a credit decision for the Bank.

Issue 2 — "Annual Debt Service" is undefined in the term sheet, and the definition determines whether the covenant is capable of performance.

Source: Term Sheet §7.1 ("The precise definitions of 'Net Operating Income' and 'Annual Debt Service' shall be set forth in the Loan Documents").

The term sheet deliberately leaves both definitions open. I have drafted them in Section 1.1: NOI on a trailing twelve-month basis net of operating expenses but before debt service, capital expenditures, tenant improvements and leasing commissions; Annual Debt Service computed on the basis actually payable — interest-only during the Interest-Only Period and on the 25-year amortization thereafter. Those are the definitions most favorable to the Bank and they are the reason the covenant is unattainable. If the Bank prefers a covenant it can live with, the definition of Annual Debt Service is the lever: computing it on an interest-only equivalent basis raises every DSCR in the table above by about 30%.

Recommendation: Confirm the definition with the Bank. Do not leave it to be negotiated by borrower's counsel after the other terms are settled, because it is a substantive credit term masquerading as a definitional one.

Issue 3 — Occupancy is misstated in the term sheet and the appraisal, and the error has propagated into the rent analysis.

Source: Term Sheet §2.3; Appraisal §1 and §3.1; Rent Roll workbook, "Summary" tab.

The term sheet and the appraisal both state current occupancy as 68%. The rent roll states 56.13%, and 56.13% is correct: three of five units are occupied, comprising Bay 1 (3,800 SF), Bay 3 (3,800 SF) and Suite A (9,800 SF), for 17,400 SF of 31,000 SF. The vacancy figure of 13,600 SF (Bay 2 and Suite B) is 43.87% of the building, and the term sheet itself recites that 43.9% vacancy figure two sentences after reciting 68% occupancy — the two statements cannot both be right. The appraisal is internally inconsistent in the same way: it states "68% (21,400 SF of 31,000 SF occupied)" and "vacant area is 13,600 SF (32%)," but 31,000 minus 13,600 is 17,400, and 13,600 divided by 31,000 is 43.87%, not 32%.

The 21,400 SF figure appears to be the source of the error, and it also explains the appraisal's blended rent of $19.40/SF: $415,100 divided by 21,400 SF is $19.40, whereas divided by the correct 17,400 SF it is $23.86, which is the figure the rent roll states.

This is not a drafting problem, but it is not a trivial one either. It affects the LTV and loan-to-cost commentary in the Bank's credit file, the 95% stabilized occupancy assumption, the absorption timeline, and any occupancy-based mechanic we might otherwise have drafted (a guaranty burn-off, a leasing covenant benchmark, or a release price). The Mortgage does not recite occupancy as a representation; Exhibit D states the correct 56.13% and 17,400 SF. I recommend the appraisal be corrected by addendum before it is placed in the credit file, and that the Bank's underwriting summary be conformed.

> **Recommendation:** Ask Pinnacle for a corrected addendum; confirm to Marcus that the occupancy in the appraisal is overstated by 4,000 SF; correct the term sheet file copy (the executed term sheet itself cannot be amended, but the credit file should carry a memo).

Issue 4 — The yield maintenance formula is ambiguous on four variables, and your suggested formula does not match the term sheet.

> **Source:** Term Sheet §§4.1–4.3; your markup notes, Section 5.

The term sheet's formula is a "greater of" structure: (a) 1.00% of the outstanding principal balance at prepayment, or (b) the present value of the excess of interest at the note rate over interest at treasury plus 50 basis points, discounted at the treasury rate. You identified four open variables: the Treasury tenor, interpolation, the discount rate, and the treatment of a zero or negative result. I have resolved each in Section 4.5 in the manner you suggested — the Security shall be the H.15 yield to maturity of the Treasury issue maturing closest to but not exceeding the end of the Yield Maintenance Period, with linear interpolation, discounted monthly at the Treasury Rate divided by twelve, and a floor at the 1.00% minimum.

Two points require your attention before it goes to the Bank. *First*, your suggested formula and the term sheet are not the same formula. Yours computes the present value of all remaining scheduled payments of principal and interest minus the principal prepaid; the term sheet computes a present-value interest differential against treasuries plus 50 basis points. The two produce different numbers in a rising rate environment — yours can be zero where the term sheet's is not, and vice versa — and the term sheet is the executed, binding document. I have followed the term sheet and used your language only for the defined variables. *Second*, your instruction that the premium shall "in no event be less than zero" is inconsistent with the term sheet's 1.00% minimum, which makes a zero result impossible. I have drafted the 1.00% minimum as controlling and retained the "not less than zero" sentence as a belt-and-braces statement that cannot operate to reduce the minimum. If you intended the zero floor to override the 1.00%, we need to say so expressly and explain to the Bank why we are giving up a bargained-for term.

On the question you flagged — whether the 50 basis points is added to the loan rate or to the treasury rate — the term sheet is clear that it is added to the treasury rate ("the interest that would accrue on such prepaid principal amount at the treasury rate plus fifty (50) basis points"). Your note suggested the alternative.

I have followed the term sheet. This should still be confirmed with Marcus, because if the Bank's intent was the other reading, the premium is materially larger and Borrower's counsel will resist a change after execution.

Also flagged: the term sheet says the Loan "may not be prepaid" during the lockout (Section 4.1) but then says "any prepayment made in violation of this restriction shall be subject to a prepayment premium as described in Section 4.2" — which contemplates that such a prepayment can happen. I have drafted the lockout as an absolute prohibition with a right in Lender to refuse a tender, and a premium if Lender accepts one (Sections 4.3 and 4.7). I have also followed your instruction that casualty and condemnation proceeds are applied at par without premium; the term sheet does not address it, and you asked me to confirm it with the client. **This remains an open item.**

Issue 5 — The Guaranty is internally inconsistent, and the interest carry does not reach the DSCR problem.

Source: Term Sheet §5.5(a)–(c).

Section 5.5 is headed "full recourse personal guaranty" and then provides in (a) that "the Loan shall be structured as non-recourse to Borrower, except for certain 'carve-out' events." Those are different instruments, and the term sheet does not reconcile them. The Mortgage does not characterize the Guaranty's recourse (Section 14.15 describes the Borrower-level carve-outs and defers to the Guaranty Agreement for Guarantor), which keeps the Mortgage neutral. The Guaranty drafter needs a decision.

Separately, Section 5.5(c) is a payment guaranty covering "any shortfall in debt service payments during the renovation and initial lease-up period, covering the first fourteen (14) months following closing." Fourteen months takes the guaranty to about June 2026 — before substantial completion, before the first DSCR test, and before amortization begins. On the figures in Issue 1, the interest shortfall is not a 14-month problem: in-place NOI of about $320,000 against annual interest of $862,875 leaves a shortfall of roughly $543,000 per year for as long as the vacancy persists, and stabilized NOI of about $587,000 still leaves a shortfall of roughly $276,000 per year even after full lease-up. The interest carry is therefore calibrated to the wrong period.

Recommendation: If the Bank wants a guaranty that supports the loan while the property leases up, the interest carry should run from closing through the first DSCR test date (at least month 27, i.e., roughly 33 months), and should be measured against actual debt service including amortization, or converted into a DSCR guaranty. I have not drafted that; it is a Guaranty term, and I will draft it on instruction.

Issue 6 — Whether the assignment of rents is to be a separate instrument is unresolved in the term sheet.

Source: Term Sheet §§5.2, 12.1(a), 14.3(b)–(c); Title Commitment Requirements 3 and 5.

Section 5.2 permits the assignment to be included in the Mortgage "or executed as a separate instrument, at the discretion of Lender's counsel." Section 14.3(b)–(c) lists both a Mortgage and an Assignment of Leases and Rents among the

documents "to be prepared and executed at closing," and describes the Assignment as "to be recorded, if prepared as a separate instrument." Title Commitment Requirement 5 accepts either. Following your instruction, I have integrated the absolute assignment into Article III and added Section 3.8, which obliges Borrower to execute a separate instrument if Lender later determines one is needed and requires recording of the Mortgage to perfect. That resolves the tension in the Bank's favor without adding a recording. But the closing index and the Loan Documents definition should be conformed so that the Bank's file does not show an undelivered document.

Note on citation: your markup notes cite the South Carolina Uniform Assignment of Rents Act at "S.C. Code § 29-3-100 et seq." My draft cites the Act by name with a Title 29, Chapter 3, Article 6 reference. The codification should be checked before the draft goes out — I have not verified the section numbers against the current Code.

Issue 7 — The term sheet contains no cash management, lockbox or DSCR cure mechanism, and the rent roll analysis recommends one.

Source: Term Sheet (absent); Rent Roll workbook, "Vacancy Schedule" tab, conclusion row.

The term sheet requires an absolute assignment of rents but no deposit account control agreement, no cash management agreement, no lockbox and no cash sweep. Given the DSCR position described in Issue 1, that is a gap: the Bank's only cash remedy on default is to notify tenants, and its only credit protection is an unattainable covenant. The rent roll analysis recommends a cash sweep trigger at 1.10x and a DSCR cure deposit. I have not drafted any of those, because term sheet Section 14.4 permits additional provisions only where they are not materially inconsistent with the term sheet, and a cash management regime is a material commercial term that the Bank should elect. I have included only the assignment, the security interest in reserve accounts and a customary control agreement authorization (Section 10.4).

Recommendation: Put the question to Marcus together with Issue 1. If the Bank elects cash management, it will require a separate agreement and an amendment to the Loan Documents list.

V. TITLE, COLLATERAL AND LEGAL DESCRIPTION

Issue 8 — Title is vested in Hampstead Village Holdings LLC, not Borrower; the deed must be recorded before the Mortgage.

Source: Title Commitment, Schedule A §3 and Schedule B, Part I, Requirement 2(a); Term Sheet §2.1 and Exhibit A.

The title commitment shows fee simple title vested in Hampstead Village Holdings LLC by virtue of a general warranty deed recorded September 14, 2018 in Deed Book 1095 at Page 322. Title passes to Borrower only on recording of the deed contemplated by Requirement 2(a). The Mortgage must therefore be executed and recorded by Borrower after the deed is recorded — and the recording sequence matters, because a mortgage given by a person who is not yet the record owner creates a priority and enforceability question that the title insurer will not resolve for us. The Mortgage recites the acquisition in Recital B and represents in Section

5.3 that Borrower "will, upon recording of the deed described in Recital B and immediately prior to the recording of this Mortgage, be the sole fee simple owner" — a formulation that is true when made and at closing. Practical steps: close the acquisition and the financing as a simultaneous transaction with a single disbursement, instruct Prestige Title in writing on the recording sequence (deed, then Mortgage, then any separate assignment, then the fixture filing), and obtain a gap indemnity or an escrow arrangement for the interval.

Issue 9 — The Anson Lane strip was conveyed by quitclaim deed only, and the description of it in the term sheet is incomplete.

> **Source:** Title Commitment, Schedule A §3, Schedule A §4 (Parcel Two), and Notes to Closer ¶3; Term Sheet §2.1 and Exhibit A; your markup notes, Section 2.

I have worked through the three verification steps in your notes as far as the record permits. *First*, the commitment does insure the strip: Schedule A §3 recites vesting of the strip in Hampstead Village Holdings LLC by quitclaim deed recorded March 22, 2019 in Deed Book 1128 at Page 443, and Schedule A §4 includes it as Parcel Two. Critically, Schedule B, Part II contains no exception that carves the strip out or qualifies the estate as less than fee simple — the only reference is Exception 7 (matters shown on the Hampstead Village plat) which does not by its terms exclude the strip. *Second*, the vesting chain is complete: City of Charleston to Hampstead Village Holdings LLC, and then to Borrower at closing. *Third*, the title company has expressly declined to treat the strip's chain as equivalent to that of Parcel One, has reserved the right to charge an additional premium for extended coverage, and may limit coverage by endorsement (Notes to Closer ¶3).

There is a defect in the term sheet description that we should catch now. Term Sheet §2.1 and Exhibit A describe Parcel Two only by reference to the quitclaim deed; they omit the recorded plat reference to the Cartwright Land Surveying LLC plat dated January 15, 2025, recorded in Plat Book 64 at Page 91, which is how the title commitment describes the strip. **Exhibit A to the Mortgage uses the title commitment's description**, which includes both. If we had copied the term sheet description we would have mortgaged a strip described only as "adjacent to and contiguous with Lot 7" — which is not a description a surveyor or a title insurer can locate.

> **Recommendation:** (i) request from Prestige Title written confirmation that the Policy will insure fee simple title to Parcel Two without carve-out, and that the estate insured is fee simple; (ii) request a specific endorsement for the strip — ALTA 34 (Identified Exception) in the form the title company is willing to give, or a 9-series endorsement if the company prefers — and accept the additional premium if reasonable, since the strip provides the rear access and loading for all three lots and its loss would impair the Property's access and site plan; (iii) obtain the countersigned commitment and confirm the premium change with Prestige before closing; and (iv) obtain the Cartwright survey in certified form so that the metes and bounds description can be inserted in Exhibit A.

Issue 10 — The legal description must be the survey description, not a plat reference alone.

> **Source:** Term Sheet §2.1 and Exhibit A; Title Commitment Schedule A §4 and Requirement 9; your markup notes, Section 2.

Exhibit A presently carries the title commitment's description, which is a plat-reference description for Parcel One and a plat-reference-plus-deed-reference description for Parcel Two, together with an incorporation of the metes and bounds description from the Cartwright survey. That is the most I can do without the survey: I will not invent metes and bounds. Note that Requirement 9 requires the survey to be dated or re-certified not more than ninety (90) days before closing and to show the Table A items listed in the Notes to Closer ¶4 (items 1, 2, 3, 4, 6(a), 6(b), 8, 9, 11, 13, 14, 16 and 19). Until that survey is in hand and certified to Lender, the title insurer and Borrower, Exhibit A cannot be finalized and the standard survey exceptions (Schedule B-II, Exception 1(b)–(e)) cannot be deleted.

Issue 11 — No Permitted Exceptions have ever been approved by the Bank in writing, and the future advance endorsement is indispensable.

> **Source:** Term Sheet §5.6; Title Commitment Schedule B, Part II, Exceptions 1–7; Requirements 3, 4, 9.

The term sheet requires the title policy to insure Lender's first-priority lien "subject only to those exceptions approved by Lender in writing ('Permitted Exceptions')" — but there is nothing in the file showing that approval. I have drafted **Exhibit B** from Schedule B, Part II, with an express condition that no matter not listed has been approved, and a conditions-to-approval paragraph requiring the endorsements listed in Section 5.6 of the term sheet (zoning, access, survey, comprehensive and future advance) plus, on my recommendation, contiguity, subdivision and ALTA 28.1 encroachment coverage.

The **future advance endorsement** deserves emphasis. The Renovation Holdback is $2,250,000 advanced over fourteen months after recording, during which time mechanics' and materialmen's liens will arise. The Mortgage states that the holdback advances are intended to have the same priority as the Initial Advance (Section 2.5), but that intention is only as good as the title coverage behind it. Confirm the endorsement covers obligatory advances and that the Bank's disbursement obligations are, in fact, obligatory and not discretionary in the loan documents — the endorsement will follow the documents, not our hopes. Section 9.4 conditions each advance but does not give Lender a free refusal right other than on default; that is deliberate, and it should be preserved.

I have also listed the land use restriction (Exception 4) as a Permitted Exception with an express statement that it "may not be removed," since the title company has said as much, and cross-referenced Article VIII so that the Bank's approval of the exception is not read as a waiver of the compliance covenants (Section 2.7 says this expressly).

Issue 12 — The balcony encroachment has no permit or license in the record.

> **Source:** Title Commitment, Schedule B-II, Exception 5 and Notes to Closer ¶2; Appraisal §2.1 and §5; Renovation Budget, line item 3.

A decorative iron balcony extends approximately 2.5 feet over the King Street right-of-way. The title company makes no representation about any permit, license or encroachment agreement, recommends ALTA 28.1 if coverage is wanted, and the appraiser (who treats the encroachment as immaterial to value) nevertheless recommends the Bank confirm a valid permit. There is none in the file. Two further points: the renovation budget includes $625,000 of façade restoration of which the balcony repair is a component, so the Bank will be funding work on the encroaching structure; and Borrower is not permitted to remove or alter it without consent under Section 7.7. I have drafted a representation that no encroachment agreement has been obtained and no notice requiring removal has been received (Section 5.5), added the ALTA 28.1 endorsement to the Exhibit B conditions, and required evidence of any license (or the Bank's written acknowledgment that none exists) as a condition of approving the exception. If the City later requires removal, the façade scope increases beyond the budget — a cost overrun that Section 9.7 puts on Borrower, but which the Completion Guaranty should be read to cover.

Issue 13 — Sources and uses do not fund closing costs, the TI/LC reserve or leasing commissions.

> **Source:** Term Sheet §§3.3, 3.4, 6.3, 8.2, 13.1, 13.2; Exhibit B to the Term Sheet; Rent Roll workbook, "Vacancy Schedule" tab; your markup notes, Section 6.

Total Project Cost is $20,950,000 ($17,800,000 purchase price plus $3,150,000 renovation). Sources are the $14,750,000 Loan and Borrower equity of $6,200,000, and those figures reconcile exactly. But Borrower's equity is fully spoken for: $5,300,000 is the gap between the purchase price and the $12,500,000 Initial Advance, and $900,000 is the renovation equity required by Exhibit B to the term sheet. That leaves nothing for:

Unfunded use	Amount	Source
Loan origination fee (1.00%)	$147,500	Term Sheet §13.1
Documentary stamp tax on the Mortgage (0.37%, subject to confirmation — see Issue 29)	$54,575	Your markup notes, Section 6
Tenant improvement and leasing commission reserve funded at closing	$150,000	Term Sheet §6.3
Leasing commissions projected for Bay 2 and Suite B ($28,500 + $61,250)	$89,750	Rent Roll workbook, "Vacancy Schedule" tab
Subtotal of identified unfunded uses	**$441,825**	

Title premiums, the ALTA survey, appraisal, Phase I, and Lender's legal fees under Section 13.2 of the term sheet would add to that figure. The Bank should see an updated sources and uses statement before closing. Note the interaction with the negative covenants: Borrower cannot close the gap with additional borrowing (Section 7.1), so either the equity commitment increases above $6,200,000 or the Bank funds/closes some of these items. I have drafted the reserve funding obligation (Section 10.3, $150,000 at closing) and the expense obligations (Section 14.9) as absolute, without acknowledging that the funding source does not exist — that is a question for the Bank.

Issue 14 — The two reserve and allowance mechanisms overlap, and the draw schedule does not implement the retainage the term sheet requires.

Source: Term Sheet §§6.3, 8.2, 8.4; Renovation Budget workbook, both tabs; your markup notes, Section 6.

Two funding sources cover the same costs: the Renovation Budget carries $550,000 of tenant improvement allowances ($450,000 from the holdback, $100,000 from equity), and the term sheet separately requires a $150,000 tenant improvement and leasing commission reserve at closing. Nothing in the record says which pays what, and the $150,000 reserve is subject to a replenishment obligation within 30 days of each draw, which is a recurring cash drain. I have drafted Section 10.3 to prohibit use of the reserve for any cost included in the Renovation Budget "except to the extent Lender approves in writing an allocation between the two sources of funds," and Section 9.2 to prohibit reallocation among budget line items without consent. That forces the Bank to make the allocation at the first draw rather than after the fact, but the Bank should approve a written funding protocol now. Note also that the leasing commissions ($89,750 in the vacancy schedule) appear in no budget at all.

On retainage: term sheet Section 8.4 requires 10% retainage from each disbursement of the holdback until substantial completion. The draw schedule workbook does not apply retainage — it draws the holdback to zero by month 14 on a gross basis. Section 9.5 imposes retainage as a matter of the Mortgage, and Section 9.6 releases it on the conditions stated. Borrower's architect and the Bank's inspector should re-cast the draw schedule to show net-of-retainage draws, or the holdback will be exhausted before the work is complete and Borrower will be funding the last 10% out of pocket without having planned for it.

VI. FIGURES: WHAT I RECOMPUTED AND WHAT DID NOT RECONCILE

Every figure in the Mortgage was recomputed. The full reconciliation is Appendix A. The items that matter for the draft or for the Bank's file are these.

Issue 15 — In-place rent of $415,100 is stale; two of the three leases have already escalated.

Source: Term Sheet §2.3; Rent Roll workbook, "Summary" and "Lease Abstracts" tabs.

$415,100 is arithmetically correct as 3,800 × $28.50 + 3,800 × $24.00 + 9,800 × $22.00. The problem is that those are the original contract rates, not the current rates. The Lowcountry Provisions lease escalates 3% each January 1 beginning January 1, 2025, so the rate in effect at an April 2025 closing is $29.355/SF ($111,549 per year), not $28.50 ($108,300); the rent roll's own escalation schedule says exactly that. The Harmon & Wren lease escalates 2.5% each July 1 beginning July 1, 2023, so the rate in effect is $25.215/SF ($95,817 per year), not $24.00 ($91,200) — and again the rent roll's schedule says so while the "Current Base Rent" line does not. The rent roll is internally inconsistent, and the "current" figures understate in-place rent by $7,866 per year (1.9%). Tidemark's escalation does not begin until April 1, 2026, so $215,600 is correct.

This cuts in the borrower's favor on NOI and therefore against the Bank on DSCR and appraised value, so I would rather the Bank discover it from us than from

borrower's counsel. I have not represented the $415,100 figure as current: Exhibit D states the base rents "as delivered to Lender" and requires Borrower to certify the escalated rents in effect on each reporting date (Section 6.6), and Exhibit D recites the escalation provisions in full.

Issue 16 — The draw schedule contains two arithmetic errors and a line-item misallocation.

> **Source:** Renovation Budget and Draw Schedule workbook, "Draw Schedule" tab.

Three defects, none large but all indicative of a schedule prepared without a cross-check: (i) Borrower equity across the fourteen draws totals **$905,000** against a commitment of $900,000 — the final row shows remaining equity of negative $5,000, and total combined draws of $3,155,000 against a budget of $3,150,000; (ii) the HVAC line draws **$1,250,000** ($900,000 from the holdback plus $350,000 from equity) against a budget of $1,200,000, while the elevator line draws $425,000 against a budget of $475,000 — a $50,000 shift between line items that the Budget Detail tab does not authorize; and (iii) as noted in Issue 14, no retainage. I have drafted Section 9.2 to prohibit draws in excess of a line item's allocation, which would stop defect (ii) at the first draw, and Section 9.4(d) to condition each advance on remaining availability. The schedule should be corrected and re-certified before it is used as the disbursement protocol.

Issue 17 — The DSCR test date differs across the file by nearly three months.

> **Source:** Term Sheet §7.1; your markup notes, Section 6; Rent Roll workbook, "Summary" and "Vacancy Schedule" tabs.

The term sheet says the first test date is "the first full calendar quarter ending after the twenty-fourth month following closing (anticipated to be approximately July 15, 2027, for the quarter ending June 30, 2027)." Your notes say April 15, 2027. The rent roll summary says April 15, 2027, and the vacancy schedule assumes all spaces leased by April 15, 2027. The term sheet governs, and I have drafted July 15, 2027 for the quarter ending June 30, 2027 (Section 6.5(a)). The difference is not cosmetic: on the vacancy schedule, Suite B's rent commencement is projected for February 1, 2027, leaving 2.5 months of rent before an April test date and 5 months before a July test date. The Bank's lease-up expectations should be expressed against the correct date.

Issue 18 — Borrower is not a single-purpose, bankruptcy-remote entity, and the amendment required by the term sheet has not been delivered.

> **Source:** Term Sheet §§10.1(a)–(g), 12.1(g); Redacted Operating Agreement Summary §§1.4, 1.5, 3.1, 3.2, 8.1, 9.1; your markup notes, Section 4.

The operating agreement summary confirms each of your concerns and adds one. (i) The purpose clause is limited to the Property but ends with "any and all activities necessary, incidental, or related thereto," and the summary states affirmatively that the agreement "does not contain any language restricting the Company to single-purpose entity status." (ii) There are no separateness covenants. (iii) There is no independent director or independent manager, no springing member, and no provision requiring any independent consent to a bankruptcy filing; the summary says so in terms. (iv) The term is perpetual and

there is no lender consent requirement for dissolution, merger or amendment. (v) The additional point: the Major Decisions list requires 75% member approval for financing above $1,000,000, so this Loan required member approval (see Issue 19) — and voluntary bankruptcy is *not* on the Major Decisions list, which means the managing member alone could file. That is precisely the risk the independent-manager provision exists to eliminate.

Term sheet Section 10.1(g) requires Borrower's organizational documents to be amended, to the extent necessary, to include these restrictions "prior to closing." Nothing in the file shows that has happened; the operating agreement summary is current through the March 1, 2025 amendment and warns that compliance "cannot be confirmed on the basis of this Redacted Summary alone."

This is where I have departed from your instruction (a) in your notes — to "[d]raft the SPE covenants in the mortgage as though the operating agreement already contains compliant provisions — that is, include representations and warranties that the borrower's organizational documents contain SPE provisions satisfying the lender's requirements." I have not done that, for three reasons. First, we know the representation would be false when made; a false representation in a document the Bank relies on is not a drafting technique, it is a misrepresentation, and it would be a poor foundation for the Bank's file if the loan later goes bad. Second, a knowingly false representation of SPE status would itself be a fraud carve-out event under Section 14.15(a) — we would be manufacturing the very recourse trigger the SPE structure is supposed to make remote. Third, the representation protects the Bank, and a representation we know to be untrue protects no one.

What I have done instead: Section 5.7 represents that Borrower "is and shall be" a Single-Purpose Entity "on and as of the Closing Date, and after giving effect to the Operating Agreement Amendment delivered at Closing"; Section 6.8 obliges Borrower to deliver the amendment, executed by all three members, together with the good standing certificate, incumbency certificate and member resolutions; and Article XII/12.1(h) makes any failure to maintain the organizational provisions of Section 6.8 an Event of Default without cure. The effect is the same as your instruction, but the representation is true when made and the Bank has a real condition precedent rather than a paper one.

Recommendation: Deliver the form of Operating Agreement Amendment with the Mortgage (I can prepare it on instruction — you asked me to prepare it separately; it is not yet drafted). It must be executed by Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC. Note that Section 9.1 of the operating agreement requires 75% member approval for amendments but gives each member whose economic rights are altered a veto; an independent-manager provision and a bankruptcy consent requirement arguably alter governance rather than economics, but I would not rely on that distinction — obtain all three signatures, as you instructed.

Issue 19 — Member approval for the Loan must be documented, and GDG cannot give it alone.

Source: Operating Agreement Summary §3.2(ii); Title Commitment Requirement 8(b)–(c); Term Sheet §12.1(g).

Section 3.2(ii) of the operating agreement makes "any financing or refinancing of the Property in an amount in excess of $1,000,000" a Major Decision requiring 75% member approval. GDG holds 72% and cannot reach the threshold alone. Title Commitment Requirement 8(b) independently requires satisfactory evidence that the persons executing the mortgage are duly authorized "pursuant to the operating agreement and/or resolutions of the members." Nothing in the file shows a member consent. Section 5.1 of the Mortgage represents that the execution has been duly authorized "including the written consent of the members of Borrower required for a financing in excess of $1,000,000," and Section 6.8 requires the resolutions at closing. Obtain the written consent — signed by GDG and at least one passive member — before the Mortgage is signed, not after.

Issue 20 — The operating agreement permits upstream and successor-fund transfers that would evade the term sheet's transfer restrictions.

Source: Operating Agreement Summary §§4.1, 4.2(c), 4.5; Term Sheet §10.3.

The operating agreement's transfer restrictions reach only transfers of membership interests in Borrower. Indirect and upstream changes are expressly outside them: Mr. Graydon may sell his interest in GDG without triggering anything; Tidewater GP Holdings LLC may be acquired or replaced; and Section 4.2(c) permits transfers of Tidewater's 18% interest to "any successor fund managed by Tidewater GP Holdings LLC or any Affiliate thereof," a term the summary describes as undefined and broad enough to move the interest to an entity with different beneficial ownership without consent. Meanwhile term sheet Section 10.3 restricts direct transfers above 10% individually or 25% in the aggregate, with an exception for transfers among existing members — and says nothing about indirect transfers or changes of control.

I have drafted three provisions to close the gap: Section 7.2 applies the 10%/25% thresholds to direct *and indirect* transfers and preserves the existing-members carve-out with ten business days' notice; Section 7.3 separately prohibits changes in control of Borrower or GDG, any transfer of Mr. Graydon's interest in GDG, transfers of Tidewater's interest to a successor fund (except to an affiliate under common control with no change in ultimate beneficial ownership), and any merger, conversion or division; and Section 7.3 states expressly that these covenants operate independently of, and are not limited by, the operating agreement. Section 12.3 makes any breach an immediate Event of Default with no cure. Borrower's counsel will push back on Section 7.3(c) as a restriction on a passive fund's ordinary succession planning; the answer is that it attaches only to a change in ultimate beneficial ownership, which is the standard formulation in conduit-loan documents.

Issue 21 — Estoppels and SNDAs are conditions precedent, and the Lowcountry lease cannot be made to produce them.

Source: Term Sheet §§2.3, 12.1(j)–(k); Title Commitment Requirement 11 and Notes to Closer ¶5; Rent Roll workbook, "Lease Abstracts" tab; your markup notes, Section 3.

Three Leases are in occupancy, and the lease abstracts show that only two contain the machinery we need. **Lowcountry Provisions Inc.** has no assignment or subletting provision at all (the abstract says "No provision. Lease is silent…"), no estoppel obligation, and no SNDA or subordination provision. **Harmon & Wren**

Design Studio LLC requires estoppels within 15 business days, subordinates to any future mortgage conditioned on a commercially reasonable non-disturbance agreement, and consents to assignment not unreasonably withheld. **Tidemark Consulting Group LLC** requires estoppels within 10 business days, is subordinate to any mortgage, and agrees to execute an SNDA on request. So for two tenants the conditions are self-executing; for Lowcountry they depend entirely on goodwill, and Title Commitment Requirement 11 and Notes to Closer ¶5 make estoppels a condition to issuance of the policy.

The Mortgage implements your three steps: a representation that Borrower has full authority to assign all rents and that the Lowcountry lease contains no restriction on assignment (Section 3.7), a covenant to use commercially reasonable efforts to obtain estoppels and SNDAs (Section 3.4), and a covenant to obtain a consent-to-assignment amendment to the Lowcountry lease at the next renewal or amendment opportunity (Section 3.7). Section 3.4 also records that the absence of these provisions in that lease is disclosed in Exhibit D, so that Lender's file reflects the gap.

Two practical points for Marcus: the estoppel condition for Lowcountry should not be waived, as you said, because a tenant with no consent clause is the one most likely to object at the moment of enforcement; and if Lowcountry refuses, the fallback is a lender's estoppel from Borrower plus the tenant's written acknowledgement of the assignment of rents, which is less protection but better than nothing. Also note that the standard exception for tenant rights in the title policy (Exception 6) warrants that the tenants have "no option to purchase or right of first refusal to purchase the Land" — the Harmon & Wren ROFR is on Bay 2, not on the Land, so there is no conflict, but Borrower's lease schedule must continue to support that warranty.

Issue 22 — The Harmon & Wren lease carries a right of first refusal on Bay 2, a near-term expiration and a termination right whose exercise deadline has passed.

Source: Rent Roll workbook, "Lease Abstracts" tab; Appraisal §§3.2, 6.3.

Three features of this lease bear on the leasing covenant and on the Bank's lease-up math. (i) Harmon & Wren holds a right of first refusal on Bay 2, exercisable within 15 business days of any bona fide third-party offer, surviving renewal of its own lease; the appraiser concludes it will add 60–90 days to the Bay 2 absorption period. Section 6.4(a) therefore requires Borrower to comply with the ROFR before executing any lease of Bay 2 or entering any exclusive negotiation, and Section 6.4(b) applies the consent threshold to new leases and to amendments and renewals. The interaction is worth flagging to the Bank: because a renewal of Harmon & Wren's lease is itself an instrument that could be drafted to extend the ROFR, Section 6.4(b)'s consent requirement should be applied to any renewal that is not on the terms described in Exhibit D. (ii) The lease expires June 30, 2026, with a renewal notice deadline of December 31, 2025 — four months before this loan's estimated closing and inside the loan term. If the tenant does not renew, Bay 3 becomes vacant in the same period the Bank expects Suite B to lease, and the vacancy schedule flags that scenario as compounding the lease-up problem. (iii) The abstract recites an early termination right effective June 30, 2025 on payment of three months' rent with six months' prior notice; the notice deadline of

December 31, 2024 has passed without exercise. Confirm in writing at closing that the right has lapsed, and obtain it in the estoppel.

Issue 23 — The leases' subordination provisions are inconsistent, and the Lowcountry lease has none.

> **Source:** Rent Roll workbook, "Lease Abstracts" tab; Title Commitment Schedule B-II, Exception 6.

Harmon & Wren and Tidemark both subordinate to future mortgages — Harmon & Wren conditionally on delivery of a commercially reasonable non-disturbance agreement, which means the Bank must be prepared to give one on terms the tenant will accept. Lowcountry has no subordination at all. The practical effect is that the Bank's lien will be prior to the leases as a matter of recording law, but its ability to deliver the SNDAs the term sheet makes conditions precedent (Section 12.1(k)) depends on three separate tenant negotiations, one of which has no contractual starting point. I recommend the Bank's form of SNDA be circulated to all three tenants before closing and that the form be reviewed against Harmon & Wren's "commercially reasonable" standard rather than presented cold.

VII. ENVIRONMENTAL — THE SCDHEC LAND USE RESTRICTION

Issue 24 — The land use restriction is a permanent title matter with continuing affirmative obligations, and the draft makes it a stand-alone covenant structure.

> **Source:** Phase I ESA §§5.1–5.4 and 6(d); Title Commitment Schedule B-II, Exception 4 and Notes to Closer ¶1; Term Sheet §5.4.

The Phase I identifies one Controlled Recognized Environmental Condition: PCE and petroleum solvent contamination from the former dry cleaning operation at 518 King Street (off-site) migrating into the southwest corner of Lot 7, remediated under SCDHEC oversight, closed by a No Further Action letter dated August 12, 2021 (SCDHEC Site ID SC-29403-0772), and controlled by a land use restriction recorded in Deed Book 1203 at Page 89 that (a) prohibits residential use of the ground floor of Lot 7 (Bay 1, 3,800 SF) and (b) requires that the vapor barrier beneath the Bay 1 slab be maintained and periodically inspected. The restriction runs with the land, cannot be removed without SCDHEC approval, and the No Further Action status is contingent on continued compliance. The Bank waived the Phase II requirement in correspondence dated January 22, 2025.

Both the title commitment (Special Instruction 1) and the Phase I (recommendation 6(d)) require the loan documents to address this specifically. Article VIII does: Section 8.2 recites the restriction and prohibits any violation, modification, termination or release without Lender's consent; Section 8.3 imposes the vapor barrier obligations, including written notice to the contractor, SCDHEC notification before any work affecting the slab, and delivery of a licensed professional's certification of integrity on request; Section 8.4 prohibits residential use of the ground floor of Lot 7 and requires a conforming covenant in every lease of that space; Section 8.6 prohibits seeking amendment or termination; and Section 12.3 makes any breach an immediate Event of Default without cure. Section 5.9 contains the corresponding representations.

Two things to note. First, this is drafted as an immediate default with no cure, at the title company's suggestion and consistent with the term sheet's "bad boy" structure for environmental matters — but a vapor barrier breach may be curable by repair, and Borrower's counsel will likely ask for a cure period confined to defaults curable solely by repair and inspection. I would resist a general cure right but consider a narrow one. Second, the Bank should require the pre-acquisition vapor barrier inspection the Phase I recommends (recommendation (b)) as a closing condition. **It is not a term sheet condition precedent.** I have drafted a post-closing certification obligation in Section 8.3(e) and a notice obligation in Section 8.5, but the inspection should be a condition; that requires the Bank's approval because it is an addition to Section 12.1 of the term sheet.

Issue 25 — The environmental recourse carve-out, as described in the term sheet, captures pre-existing contamination.

Source: Term Sheet §5.5(a)(iv); Phase I ESA §5.4.

Term sheet Section 5.5(a)(iv) makes the environmental carve-out trigger "environmental liability arising from the acts or omissions of Borrower, Guarantor, or their agents." Read literally that is limited to acts and omissions, which is the right formulation, and I have followed it in Section 14.15(d), adding an express reference to violations of the land use restriction and the institutional controls. The point to watch is in the Guaranty and the Environmental Indemnity: if either instrument makes Guarantor liable for all environmental liability without an acts-and-omissions limitation, the Guarantor will be underwriting the 1968–2005 dry cleaning history at 518 King Street for the life of the Loan. The Bank may well want that; the Guarantor will not give it without a fight; and the negotiation should be conducted knowingly rather than as a drafting accident. A customary resolution is to exclude pre-existing conditions disclosed in the Phase I from the recourse carve-out while leaving the indemnity in place for post-closing acts.

Issue 26 — The renovation scope touches the Bay 1 slab, and the draw mechanics must police it.

Source: Phase I ESA §5.4 (note regarding planned renovation) and §6(c); Renovation Budget, line items 1 and 4.

The Phase I expressly warns that any renovation activity involving penetration of or work near the Bay 1 floor slab requires care, contractor notification and advance written notice to SCDHEC. The renovation budget includes full HVAC replacement ($1,200,000) and tenant improvement allowances for vacant space; the budget detail does not confirm whether any HVAC ductwork or slab work occurs in Bay 1, and Bay 1 is occupied by a tenant that is not being renovated. The risk is a contractor penetrating the slab during HVAC work without notice to SCDHEC, which would be a breach of the land use restriction and, under Section 12.3, an immediate default. I have drafted three controls: Section 8.5 (advance notice to SCDHEC and Lender before any work that may affect the slab), Section 9.3 (the draw request form at Exhibit E includes a vapor barrier certification) and Section 9.4 (compliance with Article VIII is a condition to every advance). Confirm with the contractor and the Bank's inspector at the pre-construction meeting that Bay 1 is out of scope, and have the general contractor acknowledge the vapor barrier in writing before mobilization.

VIII. DEFAULTS, REMEDIES AND DOCUMENT ARCHITECTURE

Issue 27 — The default and cure structure has three gaps: an undefined cure for a DSCR breach, no-cure defaults that may be curable, and a subjective material adverse change clause.

Source: Term Sheet §§11.1(i), (k), 11.2; your markup notes, Section 6.

Term sheet Section 11.1(i) makes a DSCR below 1.25x "for two (2) consecutive calendar quarters … without cure" an Event of Default, but no cure mechanism is defined anywhere in the file — the word "without cure" refers to nothing. That is a drafting defect in the term sheet that we should not reproduce. Section 12.1(j) reproduces the default and Section 6.5 requires a written remediation plan, but a plan is not a cure. Either the Bank accepts that a two-quarter shortfall is a default outright (in which case delete "without cure" and say so), or a cure deposit mechanism is added (see Issue 1). I have not invented one.

Section 12.3 lists the defaults that carry no notice or cure: SPE covenants, transfer restrictions, Article VIII, failure to maintain insurance and failure to achieve substantial completion. Title Commitment Special Instruction 1 supports the no-cure treatment for the land use restriction; the term sheet supports it for SPE, transfer and insurance defaults (Section 11.2(b)). Two of those treatments are counsel's calls and should be confirmed. First, failure to achieve substantial completion by June 15, 2026 is a non-monetary default to which the term sheet's 30-day cure would otherwise apply (Section 11.2(b) excludes only SPE, transfer and insurance defaults); I have treated it as non-curable because a deadline that has passed cannot be cured, but Borrower's counsel will propose a cure measured by the delay. Second, I have deliberately **not** swept breach of representation (Section 12.1(c)) into the no-cure category: the term sheet gives it a 30-day cure, and a representation breach is often curable by correction. Cross-defaults under Section 12.1(e) track the cure period in the instrument giving rise to the default.

Section 12.1(n) is the material adverse change default. It is subjective by design and Borrower's counsel will attack it. I have qualified it with "in Lender's reasonable judgment," which is the standard compromise. The Bank should understand that in South Carolina a court will test that judgment and that a MAC default standing alone is a weak default.

One further point on the late charge: Section 4.10 assesses a 5% late charge if payment is not received within ten calendar days, while Section 12.2(a) gives a five business day cure period for the payment default. The two are consistent (the late charge is not a default trigger and Section 4.10 says so expressly), but the ordering is counter-intuitive — a payment can be cured and still bear a late charge, and the late charge can be avoided only by payment within 10 days, which is shorter than the 5-business-day cure in some months. Confirm with the Bank that this is intended; the term sheet does not reconcile the two.

Issue 28 — South Carolina requires judicial foreclosure, and the draft must not drift into power-of-sale language.

Source: Your markup notes, Section 6; Term Sheet §14.1.

Section 2.8 states that no power of sale is granted and that foreclosure is judicial only; Section 13.2 provides for an action in the Court of Common Pleas for Charleston County and reserves the deficiency remedy; Section 13.3 provides for a

receiver as a matter of right, which is important because judicial foreclosure in South Carolina is slow and the rents are the Bank's real protection in the interim. Because the Loan may be assigned, and because the Bank's standard template contains power-of-sale language for other jurisdictions, I have flagged this in the document itself. The deficiency judgment provision (Section 13.7) is drafted subject to Section 14.15's exculpation, so that the Bank's deficiency remedy runs against Borrower only to the extent of a carve-out event — that is the correct interaction between a non-recourse loan and a judicial foreclosure state, and it should be reviewed by whoever drafts the Guaranty.

Issue 29 — Documentary stamp tax: the $54,575 figure is unverified.

Source: Your markup notes, Section 6.

Your note computes the mortgage recording tax at 0.37% of $14,750,000, or $54,575.00, and instructs that it be confirmed with Prestige Title; I have confirmed the arithmetic but not the rate. South Carolina imposes the tax on mortgages at a per-$500 rate, and I have not verified whether a per-instrument maximum applies. If one does, the figure is materially overstated, which matters not for the Mortgage but for the sources and uses gap in Issue 13. I have drafted Section 14.14 to place the obligation on Borrower without stating a rate or an amount, and Section 2.4 to state a maximum principal amount secured of $14,750,000 (not a cushion above it), so that the tax base is not inflated by a 110% or 125% "maximum amount" recital. Please have Prestige confirm the rate and any cap in writing before closing and before the Bank relies on the $54,575 figure.

Issue 30 — The Mortgage is being used as the primary covenant instrument, which has enforcement consequences.

Source: Term Sheet §14.3 (list of Loan Documents); Article VI generally.

As noted in Section III, there is no loan agreement. Financial covenants, reporting obligations and SPE covenants therefore sit in a recorded instrument. Two consequences: the Property's public record will disclose the DSCR test and the reporting requirements, which some borrowers object to and which is, in any event, unusual; and any amendment to a covenant requires an amendment to a recorded instrument, with recording costs and tax considerations. If the Bank intends to hold the loan in portfolio and never amend, this is tolerable. If there is any prospect of syndication, securitization or a material modification, the covenants should be moved into a Loan Agreement before closing. I recommend we raise it with Marcus now rather than restructure later.

IX. OTHER MATTERS NOTED IN DRAFTING

Issue 31 — Operational and documentary items to be cleaned up before closing.

(a) Registered agent name. The term sheet names "Capitol Registered Agents Inc." at 1201 Main Street, Suite 410, Columbia; the operating agreement summary names "Statehouse Registered Agents, Inc." at the same address. Confirm against the Secretary of State filing, because a default notice misaddressed to the agent is a notice problem in a foreclosure.

(b) Harborline's principals. The operating agreement summary states that the members and managers of Harborline Capital Advisors LLC (10%) have not been disclosed. Borrower has represented in Section 5.16 that no member is an OFAC-listed person, but the Bank cannot verify that representation for an undisclosed 10% owner. Obtain a beneficial ownership certification for all three members and the Guarantor.

(c) Tidewater GP authority. Tidewater GP Holdings LLC must sign the Operating Agreement Amendment on behalf of Tidewater Opportunity Fund II LP. Obtain a general partner authorization certificate or a resolution, since the limited partnership agreement is not in the file.

(d) Audited financial statements. Section 7.3(a) of the term sheet requires annual audited statements within 120 days; the operating agreement requires only reviewed statements within 90 days (Section 6.2(b)). A single-asset LLC will find audited statements expensive and Borrower's counsel will ask for reviewed-with-certification. Section 6.6 follows the term sheet. If the Bank will accept reviewed statements, say so before the draft circulates, because it is easier to concede now than after execution. Note also that the two regimes have different due dates (120 days versus 90 days).

(e) Net worth and liquidity covenant obligor. Term sheet Section 7.2 imposes the $1,000,000 net worth and $500,000 liquidity covenants on **Borrower**; your notes describe them as Guarantor covenants. I have followed the term sheet (Section 6.5(b)–(c)). Applied to Borrower, the net worth covenant is nearly meaningless — Borrower's assets are the Property at roughly $20,950,000 against $14,750,000 of debt, so net worth is approximately $6.2 million at closing and the covenant is satisfied with a $5 million cushion. I suspect the covenant was intended for Guarantor. Recommend adding a Guarantor net worth covenant (in the Guaranty, tested annually against the $28,000,000 stated net worth) and leaving the Borrower covenant as drafted or deleting it.

(f) Construction contract consent. Section 9.12 requires a collateral assignment of the Beaufort Builders Group LLC contract and the contractor's consent. AIA-form contracts commonly prohibit assignment without consent; obtain the consent now rather than at the first draw.

(g) Notices. Section 14.4 lists Lender, Borrower, Guarantor and copies to counsel. The firm's street address must be inserted for the "prepared by" statement on the first page before recording; South Carolina requires the preparer's name and address on a recorded instrument, and we have not been given a Charleston street address for the firm.

(h) Title commitment term. The commitment is effective February 28, 2025 and expires August 28, 2025 (Conditions of Commitment ¶2). The commitment term sheet expires May 15, 2025. Both dates sit inside the expected closing window, but the six-week gap between the effective date and closing means the Bank should obtain a date-down endorsement at closing and a gap indemnity — which Requirement 12 contemplates and Section 6.8 requires.

(i) Flood map discrepancy. The appraisal cites FEMA panel 45019C0418J effective November 4, 2014; the Phase I cites panel 45019C0520J effective December 4, 2020. Both conclude Zone X, so the conclusion is unaffected,

but the Mortgage should rely on neither: Section 5.15 represents Zone X status generally, and Section 11.3 requires $5,000,000 of flood insurance regardless of zone, as the term sheet requires. Obtain a current flood determination certificate for the file.

(j) Jury waiver. Section 14.3 contains a jury trial waiver. Its enforceability in South Carolina is not beyond doubt; it is drafted prominently and separately (as it must be to have any chance), but the Bank should not treat it as a substitute for the receivership and rents remedies, which are its real protection.

(k) Appraisal as-is NOI. The appraisal states as-is NOI of $332,000–$345,000 but the figure cannot be reproduced from its own inputs: $415,100 in-place rent less 5% vacancy/credit loss less $85,000–$95,000 of landlord operating expenses yields $299,345–$309,345. The stabilized NOI range ($582,000–$592,000) does reproduce ($728,400 less 5% less $100,000–$110,000 = $581,980–$591,980). The as-is figure should be corrected by the addendum requested in Issue 3; it is another instance of the occupancy error propagating.

X. ADDITIONS I RECOMMEND TO THE CONDITIONS PRECEDENT TO CLOSING

The term sheet's conditions precedent (Section 12.1) and the title commitment's requirements (Schedule B, Part I) are extensive, but the following are not in either document and should be added, in each case with the Bank's approval since they go beyond the term sheet:

Item	Why	Consequence if omitted
Executed Operating Agreement Amendment signed by all three members (Issue 18)	Term Sheet §10.1(g) requires compliant organizational documents "prior to closing"; the summary confirms they are not compliant	Non-recourse structure and carve-outs are unsupported; the SPE representation cannot be made
Written member consent to the Loan (Issue 19)	Operating Agreement §3.2(ii) makes financing above $1,000,000 a Major Decision requiring 75% approval; Title Commitment Requirement 8(b) requires it	Execution authority is defective; a later member challenge to the Loan is possible
Pre-acquisition vapor barrier inspection by a licensed environmental professional (Issue 24)	Phase I recommendation (b); the barrier is not visible and cannot be inspected after closing without disturbing the slab	The Bank funds a loan secured by a slab it has never confirmed is intact
Written confirmation from Prestige Title that Parcel Two is insured as fee simple without carve-out, plus the agreed endorsement and premium (Issue 9)	Quitclaim conveyance; No warranty of title; title company has reserved its position	Undetected collateral gap on the parcel that provides access to all three lots

Item	Why	Consequence if omitted
Evidence of any City of Charleston encroachment license for the balcony, or Lender's written acknowledgment that none exists (Issue 12)	Title Commitment Exception 5 and Notes ¶2; appraiser's recommendation	Removal risk during the term, with façade cost overrun
Collateral assignment of the Construction Contract with the contractor's written consent (Issue 31(f))	Term Sheet §5.1(g) and §8.1 contemplate Lender's interest in the contract; AIA forms typically prohibit assignment	Loss of the Bank's ability to step into the construction contract on default
Corrected draw schedule net of 10% retainage with corrected totals (Issues 14 and 16)	Term Sheet §8.4 requires retainage; the schedule does not apply it and over-draws by $5,000	Holdback exhausted before completion; unplanned borrower equity requirement
Updated sources and uses showing funding for closing costs, the $150,000 reserve and leasing commissions (Issue 13)	Approximately $441,825 of identified uses have no source	Borrower unable to close, or closes with unfunded obligations under Sections 10.3 and 14.9
Written certification of escalated in-place rents and a current certified rent roll (Issue 15)	Rent roll is internally inconsistent and understates rent by about $7,866 per year	Reporting and DSCR calculations begin from an incorrect base
Beneficial ownership certifications for all members and Guarantor (Issue 31(b))	Harborline's principals are undisclosed	Cannot complete OFAC/KYC diligence; representation in Section 5.16 is unverifiable

XI. MATTERS THE MORTGAGE DOES NOT ADDRESS, AND WHY

For completeness, the following matters that a reader might expect to find in a mortgage and security agreement of this kind are deliberately absent. Where the omission is a gap rather than an inapplicability, I have said so.

Matter	Status	Reason
Ground lease or leasehold mortgage provisions	Inapplicable	Title is fee simple, subject to the Permitted Exceptions. No ground lease exists.
Subordination of any prior mortgage	Inapplicable	This is a first-lien loan; there is no senior debt to subordinate or to obtain an intercreditor agreement for.
Separate Assignment of Leases and Rents	Omitted — by design	Included as an absolute assignment in Article III following your instruction; Section 3.8 obliges Borrower to execute a separate instrument on demand. See Issue 6 for the term sheet conflict.

Matter	Status	Reason
Separate SNDA forms and tenant estoppel forms as exhibits	Omitted — pending instruction	Lender's standard forms were not in the file. Section 3.4 and Section 6.12 impose the obligations; the forms should be attached before circulation if the Bank wants them enforceable as to form.
Cash management agreement, lockbox, deposit account control agreement or cash sweep	Omitted — **gap**	Not provided for in the term sheet. See Issue 7. Section 10.4 authorizes a control agreement over the reserve accounts only.
DSCR cure deposit or letter of credit	Omitted — **gap**	Not provided for in the term sheet, and no cure mechanism is defined for a DSCR breach. See Issues 1 and 27.
Power of sale / non-judicial foreclosure	Omitted — **not available**	South Carolina requires judicial foreclosure. Section 2.8 says so expressly. See Issue 28.
As-extracted collateral financing statement coverage	Included but likely inapplicable	Section 2.1(m) covers minerals and as-extracted collateral as boilerplate; there is no mineral severance of record and no oil, gas or mineral lease disclosed. Retained because the UCC-1 will describe collateral by type.
Environmental indemnity terms	Cross-referenced, not duplicated	The Environmental Indemnity Agreement is a separate Loan Document executed by Borrower and Guarantor. Article VIII of the Mortgage contains the compliance covenants; Section 8.9 preserves the separate indemnity. The indemnity's own scope is outside this draft.
Guaranty and Completion Guaranty terms	Cross-referenced, not duplicated	Separate instruments. Sections 9.11 and 14.15 preserve Lender's rights under them. Issues 5 and 25 flag terms that must be reconciled between them and the Mortgage.
Construction loan agreement	Inapplicable	This is an acquisition-and-renovation loan documented without a construction loan agreement; Article IX supplies the disbursement mechanics. See Issue 30 on the absence of a loan agreement generally.
Radon, asbestos and lead-based paint representations	Partially included	Section 5.9 covers asbestos, PCBs, lead-based paint and radon in general terms consistent with a 1952 building. The Phase I did not sample building materials, and no separate survey is in the file.
ADA and life-safety compliance covenants	Included generically	Section 6.3 covers accessibility and life-safety compliance. The appraisal reports general ADA compliance and an elevator modernization that will bring vertical circulation into code; no separate accessibility survey was performed.

Matter	Status	Reason
Assignment of property management agreement	Omitted — **gap if a manager is engaged**	No management agreement is in the file. Section 6.15 requires Lender approval of any agreement and caps fees at 4%; if an affiliate of Borrower is the manager, Section 7.10 requires arm's-length terms and disclosure, but a collateral assignment should be added.
Recourse limitation for Guarantor	Outside this instrument	Section 14.15 addresses Borrower-level exculpation and carve-outs; Guarantor's recourse is defined in the Guaranty Agreement. See Issue 5 for the inconsistency in term sheet §5.5.

XII. ASSUMPTIONS AND LIMITATIONS

This memorandum and the draft Mortgage are prepared on the following assumptions and subject to the following limitations, each of which should be read as part of the advice:

(a) I have relied on the executed term sheet as the controlling statement of the commercial terms and on the title commitment for title matters. I have not examined the public records myself, have not reviewed the underlying deed, the quitclaim deed, the recorded land use restriction, the SCDHEC file or the Construction Contract, and have not reviewed the full Phase I report or the full operating agreement — each of which is a summary in the file.

(b) I have not verified the ALTA/NSPS survey, which is not in the file. The metes and bounds description of the Property cannot be finalized without it.

(c) The environmental analysis is based on the Phase I executive summary only. The executive summary states on its face that it is not a complete Phase I and that the full report and its appendices should be reviewed. My conclusions on the CREC and the land use restriction are therefore preliminary.

(d) My conclusions on Borrower's authority, SPE status and transfer restrictions are based on a redacted summary prepared by Borrower's counsel, which states that compliance with SPE requirements "cannot be confirmed on the basis of this Redacted Summary alone." The full agreement and all exhibits must be obtained and reviewed before closing.

(e) The financial analysis in Appendix A is arithmetic only. It is not an appraisal, a credit analysis or an opinion on value, and it does not address the appropriateness of the Loan amount, which is a credit decision for the Bank.

(f) Rate, tax and fee figures (the 0.37% mortgage recording tax, the title premium, and Lender's legal fees) are taken from your notes or the term sheet and have not been independently verified. See Issue 29.

(g) No opinion is expressed on the enforceability of the jury trial waiver, the liability limitations in Section 14.15, or the receivership provisions, each of which is subject to South Carolina law and to the discretion of the court.

(h) This memorandum is a privileged and confidential attorney work product prepared for the internal use of the firm and the Bank. It should not be

delivered to Borrower or its counsel, and it should not be relied on by any other person.

APPENDIX A

FIGURE RECONCILIATION SCHEDULE

Every figure used in the Mortgage has been independently recomputed from its primary components. "Stated" means the figure as it appears in the source document; "Recomputed" means the result of the calculation shown. Items marked **Discrepancy** require correction or an instruction before closing.

Item	Source	Stated	Recomputed	Result
1. Total in-place annual base rent	Term Sheet §2.3; Rent Roll	$415,100	$415,100 ($108,300 + $91,200 + $215,600)	Agrees
2. Total in-place monthly base rent	Rent Roll	$34,591.67	$34,591.67	Agrees
3. Security deposits held	Rent Roll; Exhibit D	$69,183	$69,183 ($18,050 + $15,200 + $35,933)	Agrees
4. Occupied area	Appraisal §1, §3.1	21,400 SF	17,400 SF (3,800 + 3,800 + 9,800)	**Discrepancy — overstated 4,000 SF** (Issue 3)
5. Occupancy by area	Term Sheet §2.3; Appraisal	68%	56.13% (17,400 ÷ 31,000)	**Discrepancy — overstated 11.87 points** (Issue 3)
6. Vacancy by area	Term Sheet (43.9%); Appraisal (32%)	43.9% / 32%	43.87% (13,600 ÷ 31,000)	Term Sheet correct; **Appraisal internally inconsistent**
7. Weighted average rent per SF (occupied)	Appraisal §3.1	$19.40	$23.86 ($415,100 ÷ 17,400)	**Discrepancy — understated $4.46/SF** (Issue 3)
8. In-place rent at escalated rates	Not stated	—	$422,966 ($111,549 + $95,817 + $215,600)	**Stated rent understated $7,866** (Issue 15)
9. Total Project Cost	Term Sheet §3.4	$20,950,000	$20,950,000 ($17,800,000 + $3,150,000)	Agrees
10. Borrower equity contribution	Term Sheet §3.4	$6,200,000 (29.6%)	$6,200,000 (29.59% of TPC)	Agrees
11. Loan-to-value, as-is	Term Sheet §3.5; Appraisal §7	81.04%	81.04% ($14,750,000 ÷ $18,200,000)	Agrees
12. Loan-to-value, as-stabilized	Term Sheet §3.5; Appraisal §7	62.77%	62.77% ($14,750,000 ÷ $23,500,000)	Agrees
13. Loan-to-cost	Term Sheet §3.5	70.41%	70.41% ($14,750,000 ÷ $20,950,000)	Agrees

Item	Source	Stated	Recomputed	Result
14. Renovation budget — total	Term Sheet §3.4, §8.2	$3,150,000	$3,150,000	Agrees
15. Renovation budget — hard costs (GC contract)	Term Sheet §3.4, §8.1	$2,850,000	$2,850,000 (1,200,000 + 475,000 + 625,000 + 550,000)	Agrees
16. Renovation budget — soft costs and contingency	Term Sheet §3.4	$300,000	$300,000 ($200,000 soft + $100,000 contingency)	Agrees
17. Holdback plus borrower equity equals budget	Term Sheet §3.3, Exhibit B	$2,250,000 + $900,000	$3,150,000	Agrees
18. Borrower renovation equity requirement	Exhibit B to Term Sheet	$900,000	$900,000 ($600,000 hard-cost gap + $300,000 soft)	Agrees; disclosed in Exhibit C
19. Holdback coverage of GC contract	Not stated	—	78.95% ($2,250,000 ÷ $2,850,000)	Gap of $600,000 on Borrower (Exhibit C)
20. Capital replacement reserve deposit	Term Sheet §6.2	$645.83/month	$645.83 ($0.25 × 31,000 ÷ 12)	Agrees
21. Loan origination fee	Term Sheet §13.1	$147,500	$147,500 (1.00% × $14,750,000)	Agrees
22. Mortgage recording tax	Markup notes §6	$54,575	$54,575 (0.37% × $14,750,000)	Arithmetic agrees; **rate and cap unverified** (Issue 29)
23. Annual interest, interest-only at 5.85%	Rent Roll, Vacancy Schedule	$863,375	$862,875	**Discrepancy — overstated $500**
24. Monthly principal and interest, 25-year amortization at 5.85%	Rent Roll, Vacancy Schedule	$93,500	$93,686.61	**Discrepancy — understated $186.61/month ($2,239/year)**
25. Annual debt service (amortizing)	Rent Roll	$1,122,000	$1,124,239	**Discrepancy — understated $2,239**
26. DSCR — in-place NOI $320,100	Term Sheet §7.1 (1.25x covenant)	1.25x required	0.37x interest-only; 0.28x amortizing	**Covenant unattainable** (Issue 1)
27. DSCR — stabilized NOI $587,000 (appraisal midpoint)	Term Sheet §7.1	1.25x required	0.69x interest-only; 0.53x amortizing	**Covenant unattainable** (Issue 1)

Item	Source	Stated	Recomputed	Result
28. NOI required to satisfy 1.25x	Not stated	—	$1,078,594 (IO); $1,405,299 (amortizing)	Gap vs. stabilized NOI: $491,594 – $818,299
29. Loan supportable at 1.25x	Not stated	$14,750,000	≈ $8,027,000 (IO basis); ≈ $6,161,000 (amortizing)	**Loan is 1.84x - 2.39x supportable amount**
30. Principal balance at maturity	Not stated	—	$13,895,165 (94.20% of original)	Balloon; prepayment premium ends at month 48
31. Draw schedule — borrower equity	Renovation workbook	$900,000 committed	$905,000 drawn	**Discrepancy — over-drawn $5,000** (Issue 16)
32. Draw schedule — HVAC line	Renovation workbook	$1,200,000 budget	$1,250,000 funded	**Discrepancy — over-funded $50,000** (Issue 16)
33. Draw schedule — elevator line	Renovation workbook	$475,000 budget	$425,000 funded	**Discrepancy — under-funded $50,000** (Issue 16)
34. Draw schedule — total combined draws	Renovation workbook	$3,150,000	$3,155,000	**Discrepancy — over-drawn $5,000** (Issue 16)
35. Retainage reflected in draw schedule	Term Sheet §8.4 (10% required)	10%	0%	**Discrepancy — retainage not implemented** (Issue 14)
36. As-is NOI (appraisal)	Appraisal §6.2	$332,000 – $345,000	$299,345 – $309,345	**Not reproducible from stated inputs** (Issue 31(k))
37. Stabilized NOI (appraisal)	Appraisal §6.3	$582,000 – $592,000	$581,980 – $591,980	Agrees
38. Identified unfunded uses	Term Sheet §§6.3, 13.1–13.2; Rent Roll	—	$441,825 ($147,500 + $54,575 + $150,000 + $89,750)	**Gap** (Issue 13)
39. DSCR first test date	Term Sheet §7.1; notes; Rent Roll	July 15, 2027 / April 15, 2027	Drafted as July 15, 2027 (quarter ending June 30, 2027)	**Conflict — term sheet governs** (Issue 17)

APPENDIX B

SOURCE-TO-ISSUE MAP

This schedule records where each material proposition, figure, date and obligation in the Mortgage appears in the record, so that any term can be traced to its source.

Provision of the Mortgage	Source	Issue
Recitals A–E; Sections 2.4, 4.1 (loan amount, advances, parties, Guarantor)	Term Sheet §§1.1–1.4, 3.1, 3.3; Title Commitment Schedule A §2	—
Recital B; Exhibit A (legal description, three parcels, Anson Lane strip)	Term Sheet §2.1 and Exhibit A; Title Commitment Schedule A §§3–4	8, 9, 10
Recital F; Exhibit C (renovation budget)	Term Sheet §§3.4, 8.2 and Exhibit B; Renovation Budget workbook	14, 16
Recital G; Article VIII (land use restriction, vapor barrier, residential prohibition)	Phase I ESA §§5.1–5.4, 6(c)–(d); Title Commitment Schedule B-II Exception 4 and Notes ¶1	24, 25, 26
Section 2.1 (collateral categories)	Term Sheet §5.1(a)–(h); your markup notes §6	—
Section 2.3 (fixture filing, UCC-1)	Term Sheet §5.3; Title Commitment Requirement 4	—
Section 2.5 (future advances)	Term Sheet §3.3(b), §8.4; Title Commitment Requirement 3	11
Section 2.8 (no power of sale)	Your markup notes §6 (judicial foreclosure)	28
Article III (absolute assignment of rents)	Term Sheet §5.2; your markup notes §3; Title Commitment Requirement 5	6, 21
Section 3.5 (security deposits)	Rent Roll, "Summary" and "Lease Abstracts" tabs	—
Section 3.7 (Lowcountry lease authority; consent-to-assignment amendment)	Rent Roll, "Lease Abstracts" tab (no assignment provision)	21
Sections 4.1–4.2 (amortization, payment dates, rate, SOFR floor)	Term Sheet §§3.6, 3.9, 3.10	—
Sections 4.3–4.8 (lockout, yield maintenance, open period, involuntary prepayment)	Term Sheet §§4.1–4.3; your markup notes §5	4
Section 4.10 (late charge)	Term Sheet §3.11	27
Section 4.11 (default rate)	Term Sheet §3.7	—
Section 5.1 (authority; member consent for financing above $1,000,000)	Operating Agreement Summary §3.2(ii); Title Commitment Requirement 8	19
Section 5.4 (legal description and survey)	Title Commitment Schedule A §4, Requirement 9	10
Section 5.5 (encroachment)	Title Commitment Exception 5 and Notes ¶2; Appraisal §§2.1, 5	12
Section 5.6 (leases, rent roll, ROFR)	Rent Roll (all tabs); Appraisal §3.2	15, 22

Provision of the Mortgage	Source	Issue
Section 5.7; 6.7; 6.8 (SPE and organizational amendments)	Term Sheet §10.1; Operating Agreement Summary §§1.4, 3.1, 8.1, 9.1	18
Section 5.9 (environmental representations)	Phase I ESA §§4, 5	24
Section 5.10 (renovation budget and GC contract)	Term Sheet §§3.4, 8.1	14
Section 5.15; 11.3 (flood zone and flood insurance)	Term Sheet §9.3; Phase I ESA §2; Appraisal §2.1	31(i)
Sections 6.4 (leasing; consent thresholds; ROFR compliance)	Term Sheet §10.6; Rent Roll (ROFR)	22
Sections 6.5–6.6 (DSCR, net worth, liquidity, reporting)	Term Sheet §§7.1–7.3	1, 2, 17, 31(e)
Section 6.15 (management)	Not in term sheet — counsel-supplied	31; App. C
Sections 7.1–7.3 (no subordinate financing; transfer restrictions; indirect transfers)	Term Sheet §§10.2–10.3; Operating Agreement Summary §§4.1, 4.2(c)	20
Sections 9.1–9.12 (renovation holdback, draws, retainage, completion)	Term Sheet §§3.3, 6.4, 8.1–8.4; your markup notes §6	13, 14, 16, 26
Article X (escrows and reserves)	Term Sheet §§6.1–6.3	13, 14
Article XI (insurance, casualty, condemnation)	Term Sheet §§9.1–9.5	31(i)
Article XII (events of default and cure periods)	Term Sheet §§11.1–11.2	27
Article XIII (remedies)	Your markup notes §6	28
Section 14.4 (notices)	Term Sheet §§1.1–1.3, 14.2	31(g)
Section 14.15 (exculpation and carve-outs)	Term Sheet §5.5(a)	5, 25
Section 14.23 (title commitment requirements)	Title Commitment Schedule B, Part I, Requirements 2–12	11
Exhibit B (Permitted Exceptions)	Title Commitment Schedule B, Part II, Exceptions 1–7	11, 12
Exhibit D (rent roll and lease provisions)	Rent Roll, "Summary" and "Lease Abstracts" tabs	3, 15, 21, 22, 23

APPENDIX C

PROVISIONS SUPPLIED AS COUNSEL THAT REQUIRE THE BANK'S APPROVAL

The following provisions are not in the executed term sheet. They are customary for a loan of this type and are consistent with term sheet Section 14.4 (which permits the Bank to require additional provisions "not materially inconsistent with the terms of this Term Sheet"), but they impose obligations on Borrower that the term sheet does not, and they should therefore be confirmed with Marcus Prideaux before the draft is delivered.

Section	Provision	Reason for flagging
5.1	Representation that member consent was obtained for the Loan	Derived from Operating Agreement §3.2(ii), not from the term sheet
9.2	Change order consent thresholds ($100,000 individually / $250,000 aggregate)	Thresholds are not in the term sheet; amounts are counsel's proposal
9.3	Ten business days' advance notice for draw requests	Term Sheet §8.4 sets no notice period
9.4(e)	Condition that Borrower funds its proportionate equity with each draw	Term Sheet is silent on sequencing of equity versus holdback; the draw schedule implies pro rata funding
9.8	Borrower pays reinspection fees	Term Sheet §13.2(h) covers inspection fees generally; reinspection fees are counsel's addition
10.4	Deposit account control agreement over reserve accounts; security interest in reserves	Term Sheet does not require a control agreement
11.8	Conditions to permitting restoration after casualty	Term Sheet does not address casualty/restoration mechanics
12.1(l)	Default for failure to fund equity or reserves	Counsel's addition to the term sheet's default list
12.1(m), (o)	Default for breach of another Loan Document; default for levy not released within 30 days	Counsel's additions
12.3	No-cure treatment for failure to achieve substantial completion	Term Sheet §11.2(b) excludes only SPE, transfer and insurance defaults from the 30-day cure; treatment of the completion deadline is counsel's call (Issue 27)
14.15(f)	SPE covenant breach as a full-recourse carve-out event	Term Sheet §5.5(a) lists five carve-outs; this adds a sixth
14.16	Prevailing party attorneys' fees	Term Sheet is silent
14.19	Waiver of marshalling and of appraisal in foreclosure	Term Sheet is silent
14.9, 14.14	Expense reimbursement and indemnity beyond Term Sheet §13.2	Broader than the term sheet's closing-cost list
6.12	Frequency limits on estoppel certificate requests	Term Sheet is silent

Section	Provision	Reason for flagging
6.15	Four percent management fee cap	Term Sheet is silent
8.3(e); 8.5	Vapor barrier certification and SCDHEC notice obligations	Supported by Phase I recommendations and Title Commitment Notes ¶1, but not in the term sheet

Please let me know which of these you want kept, softened or removed, and I will revise before the draft goes to Marcus. The three items I would not deliver without instruction are the DSCR position (Issues 1 and 2), the environmental recourse scope (Issue 25), and the treatment of the SPE representation (Issue 18) — each of those is a decision about the Bank's credit, not about drafting.

Jordan Vickers

Associate, Fielding, Ashworth & Cole LLP

March 28, 2025